*the ability of government officials to use financial leverage in their diplomatic negotiations. Such a loss of economic power is often taken to indicate a corresponding decline both in Britain's imperial status and in the very will of the political elite to hold on to the empire.*[66] *According to some, in the face of depleted coffers and extensive nationalist uprisings throughout the empire, and without the military resources to assert its authority, London lost all enthusiasm for the imperial mission. The enactment in 1919 of the Montagu-Chelmsford reforms in India, for example, have been seen as an indication by some that Britain knew its imperial days were numbered.*[67]

However, the arguments advocating imperial decline after 1918 suffer from certain flaws, not least of which is the emphasis on economics. Peter J. Cain and Antony G. Hopkins, for example, have challenged this traditional concept of Britain's economic decline, arguing that, while Britain's manufacturing output might indeed have fallen after 1918, industrial capability is not the only measure of a country's economic strength. In the opinion of Cain and Hopkins, financial services (such as banking and insurance) were a crucial part of Britain's economy after the First World War, a fact which others have tended to overlook. Indeed, it was this form of 'gentlemanly capitalism' with which the political elite in London had the greatest affiliation, rather than the declining industrial centres of the north. Many in Whitehall were also largely insulated from the day-to-day consequences of financial constraint that the general population may have faced. All of which meant that domestic economic problems did not necessarily affect government figures as much as some have argued.[68]

This is not to say that the British government was entirely unaware of the country's financial problems – budget cuts certainly affected many departments after the war. Rather, it is to question the assertion that these economic issues precipitated a crisis of confidence among the ruling elite of Britain. For one thing, the British Empire was not defined entirely by economics. As Cain and Hopkins explain, 'Power, considered as a measure of the ability to influence others, is relative as well as absolute, and potential as well as real.' Too often economic performance and political strength are assumed to be connected, with little explanation as to how.[69] John Ferris concurs: 'Historians of British power have paid too much